(iii) Purchasing power of the masses will increase which will reverse the long-standing situation of the ‘market failure’ in the economy (that is why India sells lesser industrial goods and the industries lack the market for their products. It means by emphasising upon the agriculture sector, the economy will be able to boost its income from the industries).

Accepting agriculture as the ‘core element’ of the economy, the Plan suggested key reforms which are at their various stages of implementations:

- Elimination of inter-state barriers of trade and commerce;
- Encouraging contract farming and permitting leasing in and leasing out of agriculture lands;
- Need to amend the Essential Commodities Act;
- Liberalising agri-industry, agri-trade and exports;
- Replacement of various acts concerning food by one comprehensive ‘Food Act’;
- Permitting ‘future trading’ in all commodities;
- Removal of restrictions on financing of stocking and trading.

3. Governance Recognised among the Most Important Factors of Development

It was for the first time that the economic think tank, the Planning Commission went to comment upon the issue of Governance (which has been only of political concern till date and the PC never thought to ponder upon such issues). In its first comment upon it the PC recognised governance among the most important factors to realise the planned goals (a full chapter devoted to it in Vol. I, Tenth Plan). The Government also did set up an empowered committee on the matter which advised a list of reforms:

- Improved people’s participation through the PRIs;
- Increased involvement of Civil Society and the NGOs;
- Civil Service reforms for improving transparency, accountability and efficiency; security of tenure for the civil servants with more equitable system of rewards and punishments;
- Rightsizing both the size and role of Government;